

Uber Technologies, Inc.

NYSE: UBER | Full Updated Fundamental Analysis | 26 September 2026

MARKET PRICE \$69.62 Sep. 25 close	INTERNAL BASE FAIR VALUE \$94.82 +36.2% vs. close	SCENARIO-WEIGHTED VALUE \$90.61 +30.1% vs. close	PORTFOLIO POSITION 70 shares 0.287% of portfolio
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Research conclusion: The core operating thesis remains intact and the valuation is attractive, but the nature of the decision has changed. UBER is no longer a token starter position: the canonical portfolio now holds 70 shares at an average cost of about \$69.60. The next increment of capital should therefore be evidence-gated around Q3 execution, the Delivery Hero tender process, and autonomous-vehicle capital efficiency rather than justified merely by the stock's de-rating. This is an Equity Research conclusion, not the Portfolio CIO's final position-size decision.

COMPANY QUALITY High Global scale, improving operating leverage, >\$10B TTM FCF, expanding cross-platform monetization.	VALUATION ATTRACTIVENESS Attractive 17.0x provider forward P/E, 14.1x TTM P/FCF and ~0.62 provider PEG, with a meaningful discount to DASH.	PORTFOLIO FIT Favorable, evidence-gated Distinct exposure and still only 0.29% of NAV, but the position is 3.5x larger than in the Sep. 22 report.
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Data cutoff: market data through the Sep. 25, 2026 close; company financials through Q2 2026; portfolio data from the manifest-designated **retirement-portfolio-52.xlsx**, checksum verified against agent state. Prior-underwriting baseline: Sept. 19 thesis state plus the more recent Sept. 22 published UBER report.

1. What has changed since the previous underwriting?

ISSUE	PREVIOUS UNDERWRITING	CURRENT READ-THROUGH
Portfolio exposure	20 shares and roughly 0.08% of NAV in the Sept. 22 report.	70 shares, 0.287% of NAV ; cost basis \$4,871.78, average cost ~\$69.60. At the \$69.62 close the position is essentially at breakeven.
Price / valuation	\$70.84 reference price; \$105 target based on 26x FY2027E EPS of \$4.04.	\$69.62 close. Consensus FY2027 non-GAAP EPS is now \$4.41, but the 10-year Treasury is 5.17%; I reduce the base multiple to 21.5x, producing a ~\$95 base value.
Earnings expectations	FY2027 consensus EPS approximately \$4.04.	S&P Global-linked consensus now shows \$3.36 FY2026 EPS and \$4.41 FY2027 EPS , implying ~31% forward EPS growth.
Autonomous vehicles	AV expansion was a major upside option, offset by partner bypass and >\$10B multi-year capital commitments.	London supervised rides are live. Wayve's Sept. 22 Mercedes partnership validates the technology but also shows AV suppliers can multi-home and retain bargaining power.
Delivery Hero	Offer announced; strategic logic attractive but closing risk material.	Tender period runs through Nov. 5 ; Delivery Hero's boards recommend acceptance. Uber has roughly 53% economic interest including Prosus' commitment, while regulatory approvals and H2 2027 settlement remain open.
Macro hurdle	Rates were a risk, but the prior target still used a high growth multiple.	The Fed raised its range to 3.75%-4.00% and the 10-year reached 5.17% on Sept. 25. The earnings thesis survives; the appropriate valuation multiple should be more disciplined.
Labor / regulatory	Focus was primarily contractor classification and insurance costs.	NYC's Sept. 22 DoorDash settlement increases scrutiny across delivery platforms. This is a watch item, not evidence of a current material Uber liability.

Net change: Fundamental evidence is slightly stronger, portfolio exposure is materially larger, and the discount-rate environment is worse. That combination supports keeping the thesis constructive while lowering the multiple used for the base valuation and raising the bar for further position expansion.

2. Business quality and competitive position

Uber's core advantage is the density of a global, multi-product marketplace rather than any single mobility product. Q2 reached 208 million monthly active platform consumers and 3.9 billion trips, while Gross Bookings grew 24% reported and 22% in constant currency. The operating model is now showing durable leverage: adjusted EBITDA grew 33% to \$2.8B and non-GAAP operating income grew 40% to \$2.1B.

MOBILITY

Q2 Gross Bookings grew about 20% in prepared remarks, with segment operating-income margin reaching 7.6%. Premium offerings and Uber for Business are outgrowing the core product, while expansion into suburban and lower-density markets remains profitable.

DELIVERY

Delivery Gross Bookings grew about 25%, segment operating-income margin reached a record 3.8%, and Grocery & Retail reached a \$15B annualized bookings run rate growing roughly 40% YoY. Uber One members now represent more than 70% of Delivery Gross Bookings.

ADVERTISING / PLATFORM MONETIZATION

Advertising exceeded a \$2.5B annualized revenue run rate in Q2 and was still growing roughly 50% YoY. This is important because advertising can grow revenue and profit without a proportional increase in trip or delivery fulfillment cost.

LOCAL COMMERCE EXPANSION

September partnerships added nearly 600 Costco locations across 47 states and more than 375 Wakefern stores. These do not alter near-term earnings by themselves, but they reinforce the selection flywheel behind Grocery & Retail.

Moat assessment

- **Demand aggregation:** a very large installed consumer base improves utilization and reduces customer-acquisition friction for new supply.
- **Cross-platform engagement:** Mobility, Delivery, membership and advertising create more use cases and more monetizable consumer intent than a single-product ride-hailing network.
- **Supply density and local operations:** marketplace liquidity, regulatory relationships, payments, insurance, routing and support are difficult to reproduce globally.
- **Capital-light economics - with an AV caveat:** the historical model scales without owning the underlying vehicles; AV commitments create a new test of whether that return profile can be preserved.

Interpretation: UBER's quality has improved because the question is no longer whether it can produce durable free cash flow. The harder question is whether management can deploy that cash into Delivery Hero and autonomous mobility without lowering returns on invested capital.

3. Earnings, cash flow and financial quality

Q2 2026 METRIC	RESULT	YOY / MARGIN	READ-THROUGH
Gross Bookings	\$58.0B	+24% reported; +22% CC	Broad-based demand remains strong; the most useful top-line KPI while reported revenue is distorted by business-model changes.
Revenue	\$14.2B	+12%	Reported growth was reduced by roughly 8 percentage points by business-model changes; revenue growth understates marketplace growth.
Adjusted EBITDA	\$2.8B	+33%; 4.9% of bookings	Operating leverage remains the central earnings-quality proof point.
Non-GAAP EPS	\$0.81	+35%	Cleaner measure than GAAP EPS because equity-investment revaluations materially affect GAAP net income.
Free cash flow	\$2.8B	TTM >\$10B	Provides the financial capacity for buybacks, strategic investments and transaction financing.
Q3 guide	\$58.25-\$60.25B bookings	+18%-22% CC	Next operating checkpoint; non-GAAP EPS guide is \$0.84-\$0.88.

Earnings quality

Q2 GAAP net income of \$2.4B included a \$1.6B pre-tax benefit from revaluations of equity investments. For underwriting, non-GAAP EPS, adjusted EBITDA and free cash flow are more representative. The central positive is that growth in bookings is translating into faster growth in operating earnings; the central caveat is that acquisition and AV spending could make future cash deployment more capital intensive than the historical ride-hailing model.

Consensus expectations

FISCAL YEAR	REVENUE	REVENUE GROWTH	NON-GAAP EPS	EPS GROWTH
2026E	\$57.89B	+11.3%	\$3.36	+37.0%
2027E	\$66.80B	+15.4%	\$4.41	+31.3%

Consensus figures sourced from S&P Global Market Intelligence via StockAnalysis, last updated Sept. 21. Because Uber's accounting presentation can shift with business-model changes, Gross Bookings and cash generation remain important cross-checks to reported revenue.

4. Management, capital allocation and balance sheet

Management has earned credibility on cost discipline and cash conversion, but capital allocation has become more complex. At Q2, Uber had \$5.4B of unrestricted cash, cash equivalents and short-term investments, more than \$10B of trailing free cash flow, and approximately \$16B of remaining share-repurchase authorization. Diluted share count has continued to fall.

BUYBACKS

~\$16B

Authorization remaining at Q2. Continued share-count decline is an important check that SBC is not overwhelming repurchases.

DELIVERY HERO

\$14.8B

Offer equity value; transaction expected to be non-GAAP EPS accretive on close and high-single-digit accretive by year three.

AV COMMITMENTS

>\$10B

Expected multi-year commitments across equity, infrastructure and vehicle offtake. Third-party financing is supposed to preserve flexibility.

The Delivery Hero offer is expected to be funded with existing cash plus new debt, with a committed bridge facility of about EUR14B and management targeting gross leverage below 2x while retaining investment-grade credit quality. That is reasonable given current free cash flow, but it changes the risk profile: buybacks, M&A and AV capital all compete for the same cash.

Capital-allocation risk: The biggest underappreciated downside is not a sudden collapse in ride demand; it is a gradual deterioration in returns if Uber simultaneously pays for global delivery consolidation and funds too much AV fleet/infrastructure exposure. The thesis requires external capital and partner economics to keep AV commercialization from turning Uber into an asset-heavy fleet owner.

5. Autonomous vehicles: improving proof, unresolved economics

AV execution has moved from press-release optionality toward real-world deployment. Uber and Wayve launched supervised rides in London on Sept. 3, while Uber's multi-partner model already includes deployments in other cities. In Q2 remarks, management said AVs were live in seven cities, targeted as many as 15 by year-end, and that partners had committed approximately 120,000 vehicles to the Uber network over coming years.

Why this helps the thesis

- Each launch is evidence that AV developers see value in Uber's demand aggregation, marketplace dispatch, local operations and customer interface.
- A multi-partner network reduces reliance on any single autonomous-driving stack.
- Uber can potentially monetize utilization and distribution without needing to win the core autonomous-driving technology race.

Why the risk remains real

- Wayve's new Mercedes partnership validates the technology but also demonstrates that AV suppliers can distribute through multiple OEM and platform relationships.
- Waymo, Zoox, Bolt and others are building direct or alternative distribution networks. Uber cannot assume it will capture today's ride-hailing take rate on autonomous trips.
- Uber expects more than \$10B of multi-year AV commitments. If external financing does not materialize on attractive terms, the business can become more capital intensive.

Decision hinge: The critical question is not “Do robotaxis threaten Uber?” It is “Can Uber be the highest-utilization commercialization layer for multiple AV stacks while earning attractive returns on any capital it contributes?” Evidence is improving, but that question is not yet settled.

6. Delivery Hero: strategic upside with execution and leverage risk

Uber's EUR41.50-per-share tender offer values Delivery Hero at about \$14.8B of equity value, or \$13.7B adjusted for Uber's prior stake purchases. The combination would extend Uber's multi-product platform to 99 markets, with \$236B of combined pro forma 2025 Gross Bookings. Delivery Hero's boards have recommended shareholders accept the offer.

DEAL ITEM	CURRENT STATUS / IMPLICATION
Tender period	Aug. 27 through Nov. 5, 2026.
Acceptance threshold	50% plus one share, with existing Uber ownership included as specified in the offer.
Economic interest	Uber's holdings, derivatives and Prosus irrevocable commitment bring expected economic interest to roughly 53%.
Strategic logic	Nearly doubles markets where Uber offers both Mobility and Delivery; cross-platform users historically generate materially more bookings and profit.
Earnings claim	Management expects non-GAAP EPS accretion on close and high-single-digit percentage accretion by year three.
Settlement	Expected H2 2027, subject to regulatory and other closing conditions.

Base-case interpretation: The deal is strategically coherent and can increase Uber's delivery density, membership reach and advertising inventory. The valuation case should not give full credit before tender acceptance and regulatory risk are substantially reduced.

7. Industry, regulatory and macro context

COMPETITIVE INTENSITY

DoorDash remains a formidable delivery competitor and trades at a materially higher valuation. Lyft is cheaper but lacks Uber's global multi-product breadth. Grab offers a multi-service model in Southeast Asia, but at smaller scale and with less mature cash generation.

LABOR AND LOCAL REGULATION

NYC's Sept. 22 DoorDash enforcement action raises the salience of delivery-worker pay and app-design compliance. Reuters noted it was unclear whether Uber Eats and Grubhub were complying with the same laws. Treat this as a regulatory watch item rather than an Uber-specific loss estimate.

RATES

The Fed raised the policy target to 3.75%-4.00% on Sept. 16. The Treasury's Sept. 25 curve showed the 10-year at 5.17%, up from 4.96% on Sept. 21. Higher long rates raise the return hurdle for a growth equity even when operating estimates are rising.

CONSUMER SENSITIVITY

Mobility is relatively resilient but not recession-proof; Delivery, premium rides and advertising have more discretionary exposure. Current guidance still indicates healthy demand.

8. Valuation

Current and historical valuation

METRIC	CURRENT	FY2025	FY2024	INTERPRETATION
Provider forward P/E	17.02x	24.20x	28.21x	Material de-rating despite stronger FCF and earnings quality.
P/FCF	14.06x	17.39x	18.42x	TTM FCF yield is about 7.1%.
PEG	0.62x	0.66x	0.68x	Attractive, but definition-dependent; use as a supplement, not a primary valuation method.

Using explicit fiscal-year estimates, \$69.62 equals approximately **20.7x FY2026E EPS** and **15.8x FY2027E EPS**. A simple PEG using FY2026 P/E divided by FY2027 EPS growth of about 31.3% is ~0.66x. FY2026 consensus FCF of \$10.49B implies a forward FCF yield of roughly 7.4% against the current \$142.2B market cap.

Peer valuation

COMPANY	PRICE	FORWARD P/E	P/FCF	PEG	READ-THROUGH
Uber	\$69.62	17.0x	14.1x	0.62x	Balanced growth, scale and cash generation.
DoorDash	\$193.36	29.2x	31.3x	0.66x	Faster delivery growth commands a large premium.
Grab	\$3.13	18.0x	n/m	n/a	Similar P/E, but less mature FCF and different regional mix.
Lyft	\$14.87	7.6x	5.1x	n/a	Much cheaper, reflecting slower growth, smaller scale and narrower platform.

Peer multiples are not perfectly comparable because business mix, geographic exposure, accounting and maturity differ. The useful signal is that UBER trades at a large discount to DASH while sustaining materially better scale and cash generation than most ride-hailing peers.

Scenario valuation

SCENARIO	PROBABILITY	FY2027 EPS ASSUMPTION	P/E	VALUE / SHARE	WHAT HAS TO BE TRUE
Bear	25%	\$3.90	14.5x	\$56.55	Bookings slow toward mid-teens or below, transaction/AV capital concerns persist, and 5% + long rates keep multiples compressed.
Base	50%	\$4.41	21.5x	\$94.82	Q3 lands within guidance, margins and FCF continue compounding, Delivery Hero de-risks, and AV capital remains partner-funded enough to preserve returns.
Bull	25%	\$4.65	25.0x	\$116.25	Delivery Hero closes cleanly, AV launches strengthen marketplace economics, and investors again pay a premium growth multiple.
Probability-weighted value				\$90.61	Approximately 30% above the Sept. 25 close.

Fair-value dispersion matters: The canonical workbook carries a \$76 fair-value annotation, the scenario-weighted internal value is about \$91, the internal base case is about \$95, and S&P Global's analyst target average is \$101.24. The range reflects different assumptions about autonomous economics, Delivery Hero integration, terminal margins and the discount rate. I would not treat any single point estimate as precise.

9. Market expectations and what is priced in

S&P Global's analyst set shows 50 analysts, a consensus Buy rating and a \$101.24 average target, with a low of \$70 and a high of \$150. More recent individual calls remain mixed around the edges: Bank of America maintained Buy with a \$101 target on Sept. 21; Citizens maintained a \$100 target on Sept. 25; Arete had downgraded to Hold earlier in September.

What the market appears to be pricing in: the current valuation suggests investors are skeptical that 20%+ bookings growth and 30%+ EPS growth can persist while Uber simultaneously funds Delivery Hero and autonomous mobility. In my view, some AV disruption and transaction risk are already discounted, but not a severe structural loss of marketplace relevance. That distinction matters because the bear case requires more than Waymo or other AV players growing; it requires those networks to materially bypass Uber *and* impair Uber's economics.

10. Bull case, bear case and contrary evidence

BULL EVIDENCE

- Q2 bookings +22% CC and non-GAAP EPS +35%.
- TTM FCF exceeded \$10B and share count is declining.
- Delivery margin reached a record while Grocery & Retail grew ~40%.
- Advertising run rate exceeded \$2.5B and grew ~50%.
- AV partners are launching on Uber in multiple geographies, supporting the commercialization-layer thesis.
- Forward P/E and P/FCF are well below 2024-25 levels.

STRONGEST CONTRARY EVIDENCE

- Uber plans >\$10B of multi-year AV commitments, challenging the capital-light narrative.
- AV partners can multi-home or build direct channels, limiting Uber's long-run take rate.
- Delivery Hero is a large cross-border acquisition with leverage, regulatory and integration risk.
- 5%+ long yields can keep growth-equity multiples compressed even if earnings meet estimates.
- Local labor regulation and worker-pay enforcement remain structural cost risks.
- The workbook's \$76 fair value is much less optimistic than the sell-side consensus.

11. Portfolio fit

PORTFOLIO ITEM	CURRENT	INTERPRETATION
Shares	70	Up sharply from 15 shares in the Sept. 19 thesis record and 20 shares in the Sept. 22 published report.
Workbook market value	\$4,869.20	Based on the export's \$69.58 price.
Cost basis	\$4,871.78	Average cost approximately \$69.60 per share.
Portfolio weight	0.287%	Still small enough that company-specific risk is not a portfolio-level concentration issue.
Workbook fair value	\$76	Important conservative counterweight to the higher internal and Street valuations.

UBER remains a useful diversifier relative to the portfolio's large mega-cap technology, financial and semiconductor exposures because its earnings drivers are local mobility, delivery, advertising and marketplace monetization. It still carries consumer and technology beta, however, and the Delivery Hero/AV strategy introduces more capital-deployment risk than the original asset-light thesis.

Portfolio-fit conclusion: Favorable, but the position is no longer too small to matter. The research case supports retaining a constructive posture; any further build should be tied to evidence rather than the mere fact that the stock remains near the low end of its 52-week range.

12. Catalysts and key checkpoints

1. **Q3 2026 earnings - estimated Nov. 3:** Gross Bookings should remain within or above the 18%-22% CC guide and non-GAAP EPS should meet or exceed \$0.84-\$0.88.
2. **Delivery Hero tender - Nov. 5:** acceptance and regulatory progress should materially reduce transaction uncertainty.
3. **Margin progression:** Mobility and Delivery segment operating-income margins should continue expanding without a material resurgence in rider/driver incentives.
4. **FCF / share count:** TTM FCF should remain near or above \$10B and diluted shares should keep declining despite SBC and strategic investment.
5. **AV economics:** more city launches should come with evidence of utilization, economics and third-party financing - not just vehicle-count announcements.
6. **Grocery, retail and advertising:** selection partnerships should translate into sustained bookings growth and advertising should continue to outgrow the core platform.
7. **Balance-sheet discipline:** Delivery Hero financing and AV commitments should not push leverage above management's stated framework or crowd out economically attractive buybacks.

13. Explicit thesis-break conditions

- Two consecutive quarters of constant-currency Gross Bookings growth below roughly 15% without a clearly temporary external shock.
- TTM free cash flow falling below roughly \$8B because of recurring operating deterioration rather than working-capital timing.
- Diluted share count beginning to rise year over year despite material repurchases, indicating SBC or acquisition dilution is overwhelming buybacks.
- Major AV partners increasingly bypassing Uber while Uber must fund or own fleets at scale without a credible path to attractive returns on invested capital.
- Delivery growth falling to low-teens levels while segment margins contract, undermining the second-engine thesis.
- Delivery Hero financing or integration causing a sustained leverage or cash-return deterioration materially worse than the current below-2x gross-leverage framework.
- Driver-classification, worker-pay or labor rulings in major markets creating a sustained material margin reset, supply contraction or demand-damaging price increase.

14. Research conclusion and Portfolio CIO handoff

Research conclusion: Favorable. Uber's business quality is improving faster than the current valuation implies: bookings growth remains around 20%, margins are expanding, TTM free cash flow exceeds \$10B, and the stock trades at a significant discount to its own recent forward P/E and to DoorDash. The principal debate has shifted from "Can Uber become sustainably profitable?" to "Can Uber preserve high returns while consolidating delivery and funding AV commercialization?"

Valuation conclusion: Attractive at \$69.62, but I would use a lower multiple than the Sept. 22 report because the 10-year Treasury is above 5% and the capital-allocation burden has increased. My updated base value is about \$95 and

scenario-weighted value about \$91. The prior \$105 target is still mathematically reachable if FY2027 EPS reaches \$4.41 and the market assigns roughly 24x earnings, but that multiple is no longer my base assumption.

CIO review item: UBER's authoritative thesis status remains unclassified in agent state. Because the position has risen to 70 shares, the Portfolio CIO should formally decide whether to classify it as a Working thesis and establish a position-size framework tied to the Nov. 3 earnings checkpoint, Nov. 5 Delivery Hero tender milestone and ongoing AV capital-efficiency evidence.

Open questions requiring additional work

- What portion of the >\$10B AV commitment is true at-risk Uber capital versus externally financed or contingent offtake?
- What is the most realistic steady-state take rate on autonomous trips if AV developers maintain both first-party and Uber distribution?
- How much Delivery Hero synergy is already embedded in FY2027 consensus EPS, and how much incremental financing cost is reflected?
- Will NYC's delivery-worker enforcement create a material Uber Eats cost or restitution exposure, or is it primarily a competitor-specific issue?

15. Sources and evidence register

1. **Canonical portfolio source:** retirement-portfolio-52.xlsx, designated Sept. 25, 2026; manifest checksum verified. Holdings, quantities, cost basis, static fair-value annotation and portfolio weight are sourced solely from this workbook.
2. Uber - Q2 2026 Earnings Release, Aug. 5, 2026.
3. Uber - Q2 2026 Prepared Remarks, Aug. 5, 2026.
4. Uber - Acquisition Offer for Delivery Hero, July 16, 2026.
5. Uber - Delivery Hero Offer Document publication, Aug. 27, 2026.
6. Delivery Hero - Board recommendation to accept Uber offer, Sept. 2, 2026.
7. Uber / Wayve - London autonomous rides launch, Sept. 3, 2026.
8. Uber - Costco nationwide delivery expansion, Sept. 16, 2026.
9. Uber - Wakefern grocery partnership, Sept. 9, 2026.
10. StockAnalysis / S&P Global - UBER analyst consensus and financial forecast, checked Sept. 26, 2026.
11. StockAnalysis / S&P Global - UBER current valuation statistics, checked Sept. 26, 2026.
12. StockAnalysis / S&P Global - UBER historical valuation ratios.
13. StockAnalysis current valuation pages for DASH, LYFT and GRAB, checked Sept. 26, 2026.
14. Federal Reserve - FOMC statement, Sept. 16, 2026.
15. U.S. Treasury - Daily Treasury Par Yield Curve, Sept. 25, 2026.
16. Reuters - Mercedes / Wayve autonomous-driving partnership, Sept. 22, 2026.
17. Reuters - DoorDash NYC worker-pay settlement and industry enforcement read-through, Sept. 22, 2026.
18. **Internal research:** UBER thesis registry record dated Sept. 19, 2026; UBER Fundamental Analysis report dated Sept. 22, 2026.

Evidence confidence: High for reported company financials, current portfolio facts, transaction terms and market price; medium-high for consensus estimates and peer multiples; medium for long-duration AV economics because industry structure remains unsettled. **Underwriting status:** refreshed and decision-useful, with explicit uncertainty around AV capital returns, Delivery Hero integration and local labor enforcement.